New Company Setup in Odoo

Indian fiscal localization and GST accounting

Reference version: Odoo 19 Enterprise

Use this procedure to create an Indian company, activate its accounting localization, verify GST and journals, and test that its invoices and reports use the correct company. Complete the localization checks before posting the first accounting entry.

Before you begin

- Keep the legal name, registered address, state, PIN code, GSTIN, PAN and bank details ready. Confirm GST registration status and integration applicability with the finance team.
- Use an administrator with company setup rights and an authorized Accounting administrator. First validate the procedure in UAT with external production submissions disabled.
- Confirm whether this is an independent company or a branch. Branches inherit the parent company's localization and accounting framework; their tax reporting scope needs separate verification.

1 Create the company

1. Go to Settings → Users & Companies → Companies → New. Enter the legal company name, full address, Country as India, correct State, GSTIN and contact details.
2. In the company selector at the top right, make the new company active and select only that company while configuring it. Confirm authorized users have access to it.
3. Verify the company currency is INR for this Indian accounting setup. Record the intended financial year and accounting start date with the finance team.

2 Complete the linked company contact

Open Contacts and locate the contact linked to the new company. Verify that it is the same legal entity, then enter or check PAN, GSTIN and address. Add tags only if required. Avoid creating a second contact for the same company.

3 Activate the Indian fiscal localization

1. Keep only the new company selected. Open Accounting → Configuration → Settings → Fiscal Localization.
2. Check the Package field. Select the Indian accounting package if it has not already been selected automatically from the company's country.
3. If the package is unavailable, ask the administrator to verify that Indian Accounting is installed in Apps. Clear the Apps filter if needed to find technical modules. Return to the new company and verify its Package again.
4. Reopen Accounting settings and the Chart of Accounts. Confirm that the new company has its Indian accounts and taxes.

Modules to verify

The following Odoo 19 modules support the relevant features. Install only what is required; technical names differ in older Odoo releases.

Module	Purpose
l10n_in	Indian accounting localization
l10n_in_reports	Indian tax reports and GST return features
l10n_in_edi	E-Invoice integration when applicable
l10n_in_ewaybill	E-Way bill integration when applicable
l10n_in_ewaybill_stock	E-Way bills from Inventory when required

Verify the Chart of Accounts

Go to Accounting → Configuration → Chart of Accounts. Review accounts available to the new company, including receivables, payables, sales, expenses, bank, cash, and GST input and output accounts. Check account codes and types; types affect financial reporting.

Use the localized accounts as the starting point. Add business-specific accounts only after checking for an existing equivalent. Confirm default receivable and payable accounts on a sample customer and vendor, and income and expense accounts on a sample product or category.

4 Verify GST taxes and invoice details

Go to Accounting → Configuration → Taxes. Review the localized taxes for the new company, including CGST, SGST and IGST. Check the required sales and purchase variants, rates, tax accounts and tax grids used in reporting. Avoid duplicating a tax just because it is archived or filtered out.

5 Review and create journals

Go to Accounting → Configuration → Journals with the new company selected. Standard journals may already have been created during accounting setup. Reuse suitable journals and click New only for missing or additional journals. [8]

Journal	Type	Configuration to check
Customer invoices	Sales	Company, journal code and invoice numbering
Vendor bills	Purchase	Company, journal code and default accounts where used
Each bank account	Bank	Company, bank account, currency and payment configuration
Cash when used	Cash	Company and cash account
General adjustments	Miscellaneous	Company and intended adjustment or opening entry use

For each journal, confirm the correct company and accounts available to that company. Use clear journal names and distinct codes within the company. Review invoice and credit note numbering before the first posting.

For bank journals, verify the account number, bank name and IFSC where applicable. Check receipt and payment methods and any outstanding receipt or payment accounts required by the reconciliation process. Test one receipt and one payment in UAT.

6 Configure E Invoice and E Way bill

Enable the integrations that the finance team confirms are applicable. Odoo 19 exposes GST registration and integration options under Accounting → Configuration → Settings → Indian Integration.

Verify GSTR 1 and GSTR 3B isolation

1. Open the relevant GST report under Accounting → Reporting, or through the Tax Returns dashboard, depending on the installed build. Confirm both reports are available with the required Indian reporting module.
2. Select only the new company and the intended reporting period. Verify the displayed GSTIN, company scope, any tax unit selection and whether branch data is included before reviewing or exporting.
3. Drill down from the report totals to source entries. Confirm all included entries belong to the intended company or approved GST reporting scope.
4. Run the same period for an existing company. Confirm the new company’s test transactions do not appear. Compare the existing company’s totals with the baseline recorded before testing.

If a custom report mixes records, have the developer review its company filters and access handling. Do not rely on a company name in the report header as proof that the underlying entries are isolated.

8 Complete validation before live use

Record the UAT database, company, GSTIN, period, document numbers and reviewer for each test. Use a product and tax rate approved for that test. The checks below are recommended implementation acceptance checks, not a record of tests already performed.

Test	Pass condition
Company identity	Company and linked contact agree; invoice preview shows the intended seller GSTIN and required PAN.
Localization and accounts	India package is set; required accounts and taxes are available to the new company.
Domestic sales and purchases	Intra-state and inter-state test documents use the approved GST treatment and correct input or output accounts.
Journals and payments	Journal company, bank details and numbering are correct; receipt and payment tests reconcile as intended.
GST report completeness	Posted test documents appear in the correct period and sections; report totals reconcile to source entries.
Company isolation	New company entries are excluded from existing company reports; restricted users cannot access them.
External integrations	Applicable services use the intended GSTIN and environment; responses and invoice outputs are verified.

Before live use, load approved opening balances if needed, set the required accounting lock dates, and activate production integrations only with the intended company.